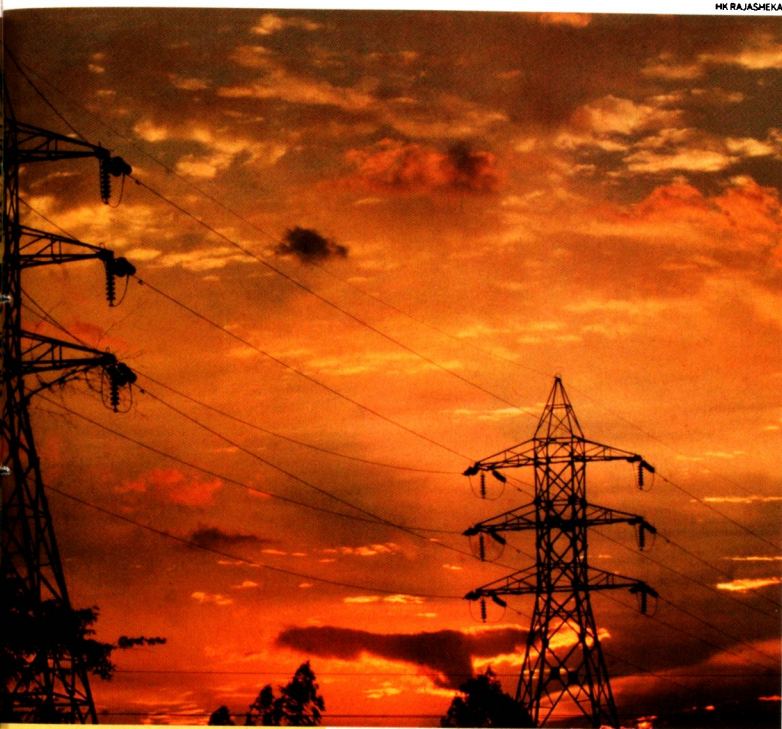



Rs 54,434

is the average downtime loss for users per hour. Outages result in highest losses for telecom, real estate and core sectors.

Bangalore

is the worst affected by disruption of power due to large IT presence. Delhi, followed by Pune, ranks highest on power cuts.

Manufacturing

is the worst-hit sector in terms of losses, followed by financial services. Only 50% of corporate audits list loss due to downtime.

78%

of respondents peg demand-supply gap at same for a year, stress a need for contingency plans and audits.

or cut production time by hours due to power cuts. Harsh Pati Singhanian, FICCI president, who also heads a conglomerate of manufacturing companies, has already met Finance Minister Pranab Mukherjee to press for an extended tax holiday benefit for power projects beyond 2010. "To ensure a 9-10 per cent GDP growth, manufacturing needs to grow by at least 12-14 per cent," says Singhanian, and this needs quality power supply. "We want a clear-cut strategy on land acquisition, which holds up key power projects for years," he adds.

For small and medium enterprises (SMEs), which are equally, if not worse, hit by power outages, the priority is cheap power, points out Rajeev

Karwal, founder director, Milagrow Business and Knowledge Solutions, a venture catalyst for SMEs. Karwal says power cuts of eight hours a day are a way of life in industrial hotspot Gurgaon and diesel gensets are the primary source of power on most days. But power through generators costs

We want a clear-cut strategy on land acquisition which holds up key power projects.

H.P. SINGHANIA
FICCI PRESIDENT



for the Government to realise that downtime leads to losses, which eventually impact economic growth.

For too long seminar specialists and experts in the power ministry have discussed and debated the connection between economic growth and lack of quality power. India must act and now. The downturn offers India an opportunity for course correction. It needs to move swiftly to cut its losses and create new capacities. The simple math is that if the outages are curbed, India could cut its losses by Rs 43,205 crore. That is nearly 1 per cent of the GDP. And in a downturn, investments in capacity generation will deliver not just power but also trigger demand, create jobs and add to the GDP. ■